

EXAM 7 – SPRING 2011

22. (6 points)

The Chief Financial Officer of a publicly traded insurance company entered into a questionable financial reinsurance agreement to avoid recognizing a sizable loss that came from the company's fastest growing business unit. The company's auditing committee failed to identify the transaction. When the news of the ongoing investigation by regulators became public, the company's stock price tumbled and it was reported that there might be a class action suit pending. Records also revealed that the Chief Financial Officer's compensation package included a large number of stock options that were redeemable at the end of the year.

a. (2.25 points)

Identify and describe three operational risks that were present in this situation.

b. (2.5 points)

Outline and briefly discuss the five steps suggested by Mango and Venter for managing operational risk.

c. (1.25 points).

Briefly discuss how well the five steps from part b. above would have prevented or mitigated this situation.

END OF EXAMINATION

Sample Solutions
Exam 07, 2011, Question 22

Solution 1

a)

3 of the following

- 1) Internal fraud – attempt to circumvent accounting regulations by misrepresenting the nature of the transaction.
- 2) HR risk – misdesign of compensation program – CFO is compensated largely by options that encourage risk-taking behavior. Employee incentives are misaligned with company goals.
- 3) People failure – improper use of reinsurance to conceal a sizable loss from a fast growing business unit.
- 4) Governance failure – internal controls should have prevented this improper act, but either were not in place or were ignored.
- 5) Reputational risk – Company reputation possibly irreparably damaged by bad press coverage following discovery of the act
- 6) Lawsuits – risk that shareholders will file suit against the company due to negligent controls in place to either prevent or identify improper internal activity.

b)

1. Identify exposure bases for each key operational risk source
2. Measure the exposure level for each business unit for each risk source
3. Estimate the loss potential (freq and sev) per unit of exposure for each operation risk
4. Combine 2. and 3. to produce modeled business unit loss freq and sev distribution
5. Estimate the impact of mitigation, process improvements or risk transfer on the business unit loss freq and/or sev dist.

c)

In this situation the fast growing business unit should have been monitored as its premium volume was increasing rapidly. Through monitoring it would have been revealed that the business unit's exposure was increasing too rapidly without adequate reinsurance. If this exposure was recognized controls could have been put in place to mitigate.